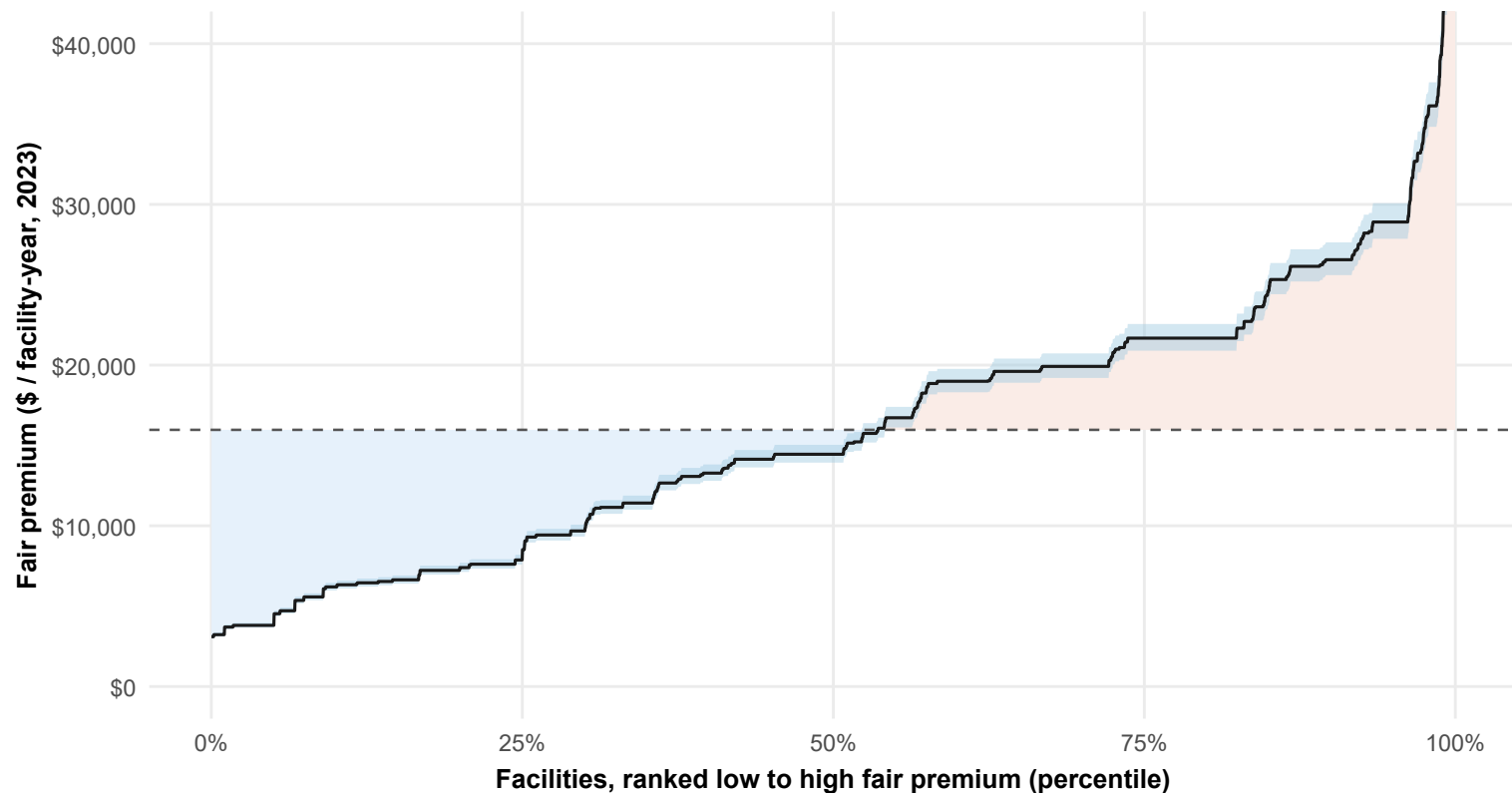


LA: facility fair premium vs uniform premium, 2005

Uniform premium tau = \$15,971/facility-yr (mean 2.6 tanks). Band = severity 95% CI.



Facility fair premium = sum over tanks of (age x wall cell hazard, 01p) x mean net-of-deductible severity. Y capped at p98 (top ~2% exceed).